

official of the Delhi government will undertake foreign travel for the next one year.

THE IMPACT

To maintain operations as smooth as possible, domestic carriers are reworking their strategies. They have reduced their summer schedule by around 10%. Air India recently reduced international operations by 25%, or 1,200 flights, impacting 33 routes in four regions. IndiGo—which has a fleet size of 440 of which 80% is leased—has reportedly cut 12% flights, while SpiceJet is facing its toughest times with unpaid staff dues of over 2.5 months. The small carrier's entire internation-

al operation has been impacted. Several of its domestic flights had to be cancelled due to ending of aircraft lease bringing down its fleet size from 35 to 21 over the past few weeks.

However, if the war continues, the spillover could be visible in the second quarter of the FY27 too, according to analysts.

Kinjal Shah, Senior Vice President & Co-Group Head, Corporate Ratings, ICRA Ltd, says losses are expected to persist amid an adverse cost environment shaped by geopolitical developments.

For FY27, ICRA had projected that net losses will narrow to ₹11,000-12,000 crore from

₹17,000-18,000 crore in FY26, supported by growth in passenger traffic. However, the West Asia conflict, resulting in flight cancellations, rerouting for select long-haul international routes, increase in fuel burn, higher costs owing to additional airport charges as more aircraft remain grounded, increase in fuel cost, and depreciation of the rupee against the dollar pose a downward bias to the forecast.

TURBULENT WEATHER

The closure of the Gulf airspace since the end of February has posed a big challenge. The Gulf market is a key contributor to India's aviation sector, accounting for nearly half the international passenger traffic to and from India, according to DGCA.

Notably, international passenger traffic witnessed a sharp contraction of 36% on a YoY basis and 35% on a sequential basis in March 2026.

Speaking at a town hall on May 8, Air India Chief Executive Officer and Managing Director (CMD) Campbell Wilson told employees to maintain a "relentless focus on costs" amid airspace closures, depreciation of the rupee, and 2.5-3 times increase in jet fuel prices compared to earlier levels.

The sombre mood is reflected in the airline's headquarters in Gurugram. The management has deferred annual salary increments by at least one quarter.

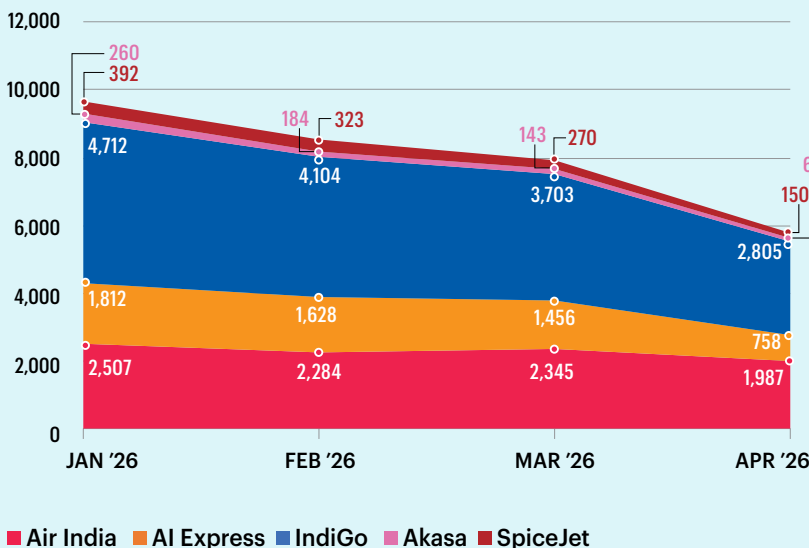
Air India's losses more than doubled to ₹26,000 crore in FY26 over the consolidated loss of ₹10,859 crore in FY25, as per Singapore Airlines, which holds a 25.1% stake in the airline.

"A key driver of this pressure



INTERNATIONAL FREQUENCY IMPACTED (PRE VS POST WEST ASIA CRISIS)

• International frequency of almost all domestic carriers cut by nearly 50%



SOURCE OAG